

it will persist. Inflation can be as much a political risk as it is an economic one (see also chapter 7 for inflation risk and political risk as factors).

Inflation was finally brought under control by Fed Chairman Paul Volcker, who was appointed by President Jimmy Carter and served from August 6, 1979, to August 11, 1987. When Volcker took office, the public was ready to endure the pain required to cure the inflation disease. Volcker brought inflation under control by jacking up the Fed funds rate above 19% in the early 1980s. The economy careened into recession, but inflation was brought under control. This period is the *Volcker disinflation*. There are several lessons for asset owners in this experience: committed monetary policy can control inflation, doing so can be painful, and inflation risk is intertwined with monetary policy risk (see chapter 9 on fixed income).

Figure 11.1 shows that not only has the level of inflation varied considerably, but the volatility of inflation has also changed over time, exhibiting high and low volatility periods. This sort of volatility clustering is described well by Engel’s (1982) popular model of GARCH volatility. In fact, although GARCH models are now overwhelmingly applied on financial returns (see chapter 8), his first application was inflation! From the mid-1980s to the early 2000s, the volatility of inflation declined dramatically, especially compared to the very high inflation volatility of the 1960s and 1970s. Economists dubbed the later, quiet period *the Great Moderation*. The fall in volatility was not only observed in inflation; volatility declined in all macro series: GDP growth, investment, consumption, sales, unemployment, and so on. (Volatility of asset returns, however, did not fall.)

The decline in inflation and other macroeconomic volatility was accepted by many as a permanent regime change. In 2003, at the Fed’s rarefied Jackson Hole symposium—an annual retreat of central bankers, policymakers, and academics—conference delegates debated whether the Great Moderation was due to structural changes in the economy, good monetary policy, or plain good luck. All three played some role.³ Central bankers gave themselves a hearty round of congratulations for a new era of successful monetary policy, but the uptick in volatility since the financial crisis has shown how wrong most economists were. Inflation volatility, like other macroeconomic volatilities, changes over time, and asset owners must be prepared to live with it. The worst thing is to become complacent.

2.2. THERE IS NO SINGLE INFLATION RATE

While prices of all goods and services generally rise and fall together, inflation means different things to different investors because investors do not consume the same basket of goods and services. Two especially important inflation rates

³ See Stock and Watson (2002).